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* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

% Reserved on: 17.11.2022

Pronounced on: 08.12.2022

\+ **ARB.P. 1177/2022**

M/S TRIVENI POWER EQUIPMENTS PVT. LTD. ..... Petitioner

Through: Mr. Anirudh Sahni and Ms. Kavya Dhingra, Advocates.

versus

M/S KALINDI HYDRO PROJECTS LTD. ..... Respondent

Through: Mr. Vineet Oberoi, Senior Advocate with Mr. Tarun Bakshi, Advocate.

CORAM:
HON'BLE MR. JUSTICE MANOHAR LAL DUGGAL

JUDGMENT

1. This petition under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the 1996 Act") seeks appointment of a sole arbitrator to adjudicate disputes arising out of the Agreement dated 14.03.2014 between the parties for supply and commissioning of turbine auxiliaries ("the Agreement").

2. Clause 24 of the Agreement provides for arbitration by a sole arbitrator to be appointed by mutual consent. Disputes arose over final payment. The petitioner issued a notice dated 05.03.2016, received by the respondent on 07.03.2016, invoking arbitration, proposing a named arbitrator and calling upon the respondent to concur within thirty days. The respondent did not respond. The parties thereafter exchanged letters, and met on three occasions between June 2016 and November 2017, to explore a settlement. The present petition was filed on 22.06.2022.

3. Learned Senior Counsel for the respondent objects that the petition is hopelessly barred by limitation, as the right to apply accrued on 06.04.2016 on the expiry of thirty days from receipt of the notice, and the period of three years under Article 137 of the Limitation Act, 1963 expired on 05.04.2019.

4. Learned counsel for the petitioner contends that the respondent never refused the proposal, that the parties remained in active negotiation until November 2017, and that time should be counted from the failure of the last round of talks.

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5. The only question requiring decision is when limitation for filing a petition under Section 11(6) of the 1996 Act commences.

6. Under Section 11(4) of the 1996 Act, where a party fails to appoint an arbitrator within thirty days from the receipt of a request to do so by the other party, the appointment is to be made, upon request, by the Court. The cause of action for a petition under Section 11 thus arises on the expiry of the thirty-day period, a date fixed by the statute and independent of the will or conduct of the respondent.

7. A rule which makes the commencement of limitation depend on an express refusal would render the starting point uncertain and would allow a party to prolong it indefinitely through correspondence. Settlement discussions between the parties do not stop the running of time, and the letters relied upon by the petitioner contain no acknowledgment of any kind.

8. This Court holds that the limitation for filing a petition under Section 11(6) of the Arbitration and Conciliation Act, 1996 commences automatically upon the expiry of thirty days from the receipt of the notice invoking arbitration, and the period of three years prescribed by Article 137 of the Limitation Act, 1963 is not extended by subsequent correspondence or negotiations between the parties.

9. Applying the above, the right to apply accrued on 06.04.2016 and the period of limitation expired on 05.04.2019. The petition, filed on 22.06.2022, is barred by more than three years.

10. The petition is accordingly dismissed as barred by limitation, leaving the petitioner to such remedies, if any, as may be available in law. There shall be no order as to costs.

MANOHAR LAL DUGGAL, J

DECEMBER 08, 2022/ak

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